

CHELSEA FC HOLDINGS LIMITED
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024



CHELSEA FC HOLDINGS LIMITED

COMPANY INFORMATION

Directors	D Barnard T Boehly B Charone B Eghbali J Feliciano D Finkelstein J Goldstein C Jurasek J Pade M Walter H Wyss
Secretary	J Bonington
Company number	02536231
Registered office	Stamford Bridge Fulham Road London SW6 1HS
Auditor	KPMG LLP 15 Canada Square London E14 5GL

CHELSEA FC HOLDINGS LIMITED

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CHELSEA FC HOLDINGS LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present the Annual Report, comprising the Strategic Report and Directors' Report, and audited financial statements of Chelsea FC Holdings Limited ("the Company") and its subsidiary undertakings ("the Group" or "the Club") for the year ended 30 June 2024.

Results for the year

The net profit for the year, after taxation, was £129.6m (2023: *net loss of £89.8m*).

Fair review of the business

Profit and Loss

The profit for the year before taxation was £128.4m compared to a loss of £90.1m for the prior year. The Group realised a profit on the sale of a subsidiary of £198.7m. Overall revenue decreased by £44.0m, however cost of sales and administrative expenses also decreased by £78.9m and profit on disposal of player registrations increased by £89.6m.

This year saw an overall decrease in turnover from £512.5m to £468.5m, largely due to the men's team not participating in the UEFA Champions League. Matchday revenue increased from £76.5m in the prior year to £80.1m. Average attendance of approximately 40,000 was maintained, and there were three more women's team matches held at Stamford Bridge during the year.

Overall, broadcasting revenue decreased by £62.8m to £163.1m compared to the prior year. The Club generated significantly less revenue from UEFA as the men's team did not qualify for UEFA Champions League. This was partly offset by the men's team 6th place finish in the Premier League, resulting in a higher domestic broadcasting share compared to last season. The women's team reached the semi-final of the UEFA Women's Champions League for the second consecutive year and achieved 1st place in the Women's Super League.

The increase in commercial revenue of £15.2m to £225.3m was driven by an increase in player loan income, strong sales of non-match day activities including stadium tours and merchandise sales.

Overall, operating expenses of £682.2m decreased by £78.9m compared to the previous year. This was principally because of decreased player amortisation (to £190.1m) and reduced cost of sales.

During the year, the Group commenced a review of its group structure, which resulted in the sale of Chelsea Football Club Women Ltd to Blueco 22 Midco Limited, a fellow subsidiary of the intermediate parent company, Blueco 22 Limited, on 28 June 2024. The results of Chelsea Football Club Women Ltd are included in the Group profit or loss account. This sale resulted in a profit on disposal of subsidiaries of £198.7m to the Group.

The Group made a net profit on player trading of £152.5m in the year (2023: £62.9m) principally due to the sales of Mason Mount to Manchester United, Ian Maatsen to Aston Villa, Lewis Hall to Newcastle United and Omari Hutchinson to Ipswich Town. In addition, the Group realised contingent fees in relation to a number of previous transfers and incurred costs relating to the changes made to the men's first team management in the year.

Balance Sheet

Intangible assets have increased to £1,035.3m from £709.8m. This movement is largely due to £552.7m of player acquisitions including Cole Palmer from Manchester City, Moisés Caicedo and Robert Sánchez from Brighton & Hove Albion, Roméo Lavia from Southampton FC, Christopher Nkunku from RB Leipzig, Axel Disasi from AS Monaco, Kiernan Dewsbury-Hall from Leicester City, Lesley Ugochukwu from Stade Rennais FC and Omari Kellyman from Aston Villa. This was offset by total amortisation of £190.1m and the disposal of player registrations with a combined net book value of £34.5m.

Tangible fixed assets are £154.4m at the year end with additions of £11.6m in the year offset by £13.5m of depreciation.

Net current liabilities of £177.4m have decreased from £256.8m in the prior year. This is because of a net decrease in short term creditors of £91.3m, principally relating to decreased trade creditors and current amounts owed to the parent undertaking.

Creditors falling due after more than one year of £219.3m have decreased by £40.9m in the year from £260.2m. This is due to a decrease in the amounts owed in relation to player trading.

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FOR THE YEAR ENDED 30 JUNE 2024

Principal risks and uncertainties

There are a number of potential risks and uncertainties which could have a material impact on the Group's long-term performance. These risks and uncertainties are monitored by the Board on a regular basis. The directors have specifically considered the additional risk to the Group of the ongoing level of high inflation being seen in the UK including the impact of increased energy prices and the impact of the weakened pound compared to the US dollar. Forecasted increases in operating costs because of these factors have been included in the Group's budget to assess potential additional funding requirements as described further in Note 1.3. The directors have begun monitoring the potential impact of climate change on the Group's operations, which isn't currently considered material.

Income

The Group derives its income from football activities and related business activities of which there are three principal sources: matchday revenue, broadcasting and commercial income.

Expenditure

The Group's primary outgoings relate to matchday operations; the continued development of the football club's brand; employee remuneration; support services to facilitate elite sporting performance; and the development of the playing squad. The last of these is achieved through a combination of activity in the transfer market and investment in the Club's academy and youth programmes to nurture and develop young players for the future.

Regulatory environment

The football club is regulated by the rules of The FA, the Premier League, UEFA and FIFA. These regulations have a direct impact on the football club as they cover areas such as the division of centrally negotiated broadcasting and media agreements and the operation of the transfer market.

The Club monitors its compliance with all applicable regulations on a continuous basis, considering the impact of potential changes and taking mitigating action where possible. The Club aims to balance success on the field together with the financial imperatives of complying with UEFA and Premier League financial regulations.

Funding

Funding is provided by the intermediate parent company, Blueco 22 Limited, which is controlled by a consortium led by Todd Boehly and Clearlake.

The Group reviews and updates its forecasts on a regular basis and keeps the parent company and ownership aware of its financial commitments going forward.

Key performance indicators

The key performance indicators for 2023/24 of both a financial and non-financial nature were as follows:

Non-financial

- Premier League – 6th place (2023: 12th place)
- FA Cup – Semi-Finals (2023: 3rd round)
- League Cup – Final (2023: 3rd round)
- Champions League – N/A – did not qualify (2023: Quarter Finals)
- Average league attendance of 39,576 (2023: 40,002)

Financial (reviewed by the Board on a monthly basis)

- Revenue
- Payroll costs
- Operating result before player trading and amortisation
- Gains/losses on player trading
- Player acquisition costs
- Compliance with UEFA Financial Fair Play Regulations
- Compliance with Premier League enhanced financial regulations

CHELSEA FC HOLDINGS LIMITED

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FOR THE YEAR ENDED 30 JUNE 2024

Going concern basis

The Company is reliant on its intermediate parent undertaking, Blueco 22 Limited, for its continued financial support. The Company has received confirmation that sufficient funds will be provided to finance the business for the foreseeable future and at least 12 months from the date of signing of these financial statements. The directors have therefore adopted the going concern basis in preparing these financial statements. See Note 1.3 of the financial statements for further details.

Fixed assets

The movements in fixed assets during the year are as shown in notes 13 to 16 to the financial statements. The intangible fixed assets include the unamortised portion of the cost of players' registrations and internally generated software.

Officers of Chelsea Football Club Limited and Chelsea Football Club Women Limited have valued the playing staff and have deemed that an impairment of £Nil (2023: £Nil) is necessary when comparing the valuation to a net book value of £1,030.7m (2023: £704.9m) as disclosed in Note 13 to the financial statements.

Directors' duties under section 172

The purpose of this statement is to outline how, during the year, the directors of the Company had regard to the matters set out in section 172(1) (a) to (f) of the Companies Act 2006 when performing their duties under section 172.

Under section 172(1) a director of a company must act in the way that he or she considers, in good faith, would be most likely to promote the success of the company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequences of any decision in the long term;
- the interests of the company's employees;
- the need to foster the company's business relationships with suppliers, customers and others;
- the impact of the company's operations on the community and the environment;
- the desirability of the company maintaining a reputation for high standards of business conduct; and
- the need to act fairly towards all members of the company.

In order to fulfil their duties under section 172, the directors need to ensure that the Company not only acts in accordance with its legal duties but also has regard for all its stakeholders when taking decisions. Understanding the company's stakeholders and how they and their interests will impact on the strategy and success of the Company over the long term is a key factor in the decisions that the Board make.

Fans

Every decision made at Chelsea FC is taken with the direct or indirect aim of promoting and improving on pitch performance and, in turn, to provide enjoyment and entertainment to our fans. The Club's ownership group is firmly committed to building on the Club's remarkable history of success and making fans proud.

The Club continues to offer a range of ways for supporters to find out about club activity, both domestic fanbase and those living overseas. Fans are informed about Club activity through its website, official app, social media, matchday programmes and more. Across all of these channels, we provide access to the players and coaches from our men's, women's and academy teams as well as training and match highlights, all within the safety requirements of the Government, the Premier League and The Football Association.

The Club continues to develop Fan Engagement, with the key role of the Fan Advisory Board (FAB) and the implementation of a dedicated Supporter Relations Team of 8 staff working across a multitude of projects and campaigns to enhance and develop the connection with our supporters.

CHELSEA FC HOLDINGS LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2024

Directors' duties under section 172

Fans (continued)

The FAB has played a pivotal role in club strategy that directly impacts Supporters. This is evident with the significant consultation between club officials and the FAB in the ticketing pricing producing an agreeable and collaborative strategy.

The Club continues to meet with a cross section of supporters that reflect the diverse nature of Chelsea's support via the Fans Forum and Access Forum as well as a recently produced Forum dedicated to the Women's Team. The Forums consist of a body of elected fans and senior members of the Club management and meet at least three times per season to discuss and debate Club matters with the aim of maintaining a positive and constructive dialogue between the Club and fans, developing a better understanding of matchday and operational issues that affect supporters and providing an opportunity for the Club to discuss new ideas.

In engaging with fan representatives in this way we aim to ensure that supporters - whether part of a structured group or not - feel they can make their voice heard and their suggestions can be considered. The Club also regularly engages with unofficial supporters groups and supporters clubs around the world, alongside local residents who live around Stamford Bridge. With these groups, a number of Fan Engagement projects and campaigns have been implemented to address key supporter issues.

Chelsea FC has expressed support for the Premier League's Fan Engagement Standard and will continue to work closely with the Premier League to ensure the standard is mainstreamed throughout the Club.

Partners

The commercial partners of the Club are fundamental to our success. The Club works hard to build long lasting relationships with like-minded brands that can help bring value to our club, our fans and our employees, moving beyond traditional partnering rights.

It is also vitally important to the Club that partners understand our commitment to innovation, success and community support and engagement. For example, we look for partners that support fully the development and promotion of women's football in the UK and around the world, or that want to support our vast range of community programmes. The repositioning of the Women's Team has provided the opportunity for focused partnerships and we are proud of the work our partners do alongside Chelsea FC and look forwarding to welcoming more partners to Chelsea FC in the future.

Employees

The Club's owners are determined to establish and nurture a culture of transparency, accountability, inclusivity, diversity and opportunity for all Chelsea employees. There is a clear intent for the Club to be a beacon of hope, positivity and good leadership for employees and the communities we all serve.

The Club's owners will continue to build on the initial work they have already done to create a sustainable, positive culture that will ensure Chelsea FC's future success.

The physical and mental health and wellbeing of all Chelsea employees is paramount. The owners' mission is to create a workplace environment and corporate culture that empowers everyone in the Chelsea FC community to be safe, included, valued and trusted, and to work tirelessly to set and achieve the highest standards. An employee wellbeing survey has been implemented alongside a number of staff-led initiatives and activities to continue to use Mental Health Awareness Week as a catalyst.

The Club's values are at the core of our people-related activities both on and off-the-pitch. Significant progress has been made in relation to equality, diversity and inclusion, promoting fair and equitable policies and procedures throughout its recruitment, retention, training, development, and recognition processes. The introduction of employee resource groups connected to Equality, Diversity and Inclusion ("ED&I") will only further activity in this area. Chelsea FC is fully committed to equal and fair opportunities, demonstrated through the continued support of the London and National Living Wage, our Disability Confident accreditation, our early commitment to the FA Football Leadership Diversity Code and continued work on the Premier League Equality Standard at Advanced Level.

CHELSEA FC HOLDINGS LIMITED

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Shareholders

The Group is owned by a consortium led by Todd Boehly, chairman and CEO of Eldridge, and Clearlake.

The shareholders are kept fully informed of the Group's actual and forecast results and funding requirements. Decisions are only made in relation to the long-term strategy of the Club following thorough discussions between board members and the shareholders.

Regulatory bodies

The Group is regulated by The FA, the Premier League, UEFA and FIFA. As explained elsewhere in the Strategic Report, the Group actively engages with these regulatory bodies and monitors compliance with all regulations.

Suppliers

The Group's suppliers are integral to the day-to-day operation of the business. Relationships are carefully managed to ensure that the Group is always obtaining value for money and reflect the values of the club. The Company seeks to ensure that good relationships are maintained with suppliers through regular contact and the prompt payment of invoices.

Other stakeholders and the wider community

The Club is committed to ensuring that none of its activities have a detrimental impact on the wider community. The Chelsea Foundation has undergone a strategic review to ensure we focus on our local community close to Kingsmeadow, Stamford Bridge and Chelsea Training Ground in Cobham. The Chelsea Foundation will work closely with fan-led initiatives and various projects designed to use the power of football and sport to motivate, educate and inspire.

With a hyper-local focus, The Chelsea Foundation works on a broad range of initiatives focusing on employment, education, social deprivation, crime reduction, youth offending and much more.

The Club continually tracks and reviews to work towards further sustainable and environmentally friendly projects. The formation of a fans sustainability group will help us continue to measure our environmental impact. The intention is to continue to improve efficiency in the use of all resources and adopt an approach to implement low and zero carbon technologies where appropriate.

The Club is committed to treating all relevant legal and environmental legislation and guidelines as a minimum requirement and will seek to exceed them wherever possible. The Club is also fully (Energy Savings Opportunities Scheme) ESOS compliant. The club has conducted a high level assessment of potential climate related risks at year end, this is a developing process which we will continually look to work on in future reporting periods. At this time the club see the process of managing these risks as having no material impact on the business.

Decision making and section 172 of the Companies Act 2006

The Club's primary strategy is to deliver on-field success, whilst taking into consideration all stakeholders.

During the past year the Club continued to support the needs of staff and the wider community.

The Chelsea Foundation continues to provide outstanding leadership, with its staff at the forefront of the delivery of education programmes and established support sessions for people of all ages.

The Club continues to expand our anti-discrimination work with its No To Hate campaign. Using the Club's global reach, we provide guidance for fans on how to report racist abuse, both in the stadium and online. We work to identify perpetrators of racist abuse and take the strongest possible action against them, working with police and authorities to secure prosecutions. The club will continue to work with football authorities and campaigning organisations to support best practice on tackling racism and promoting equality, diversity and inclusion.

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STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Decision making and section 172 of the Companies Act 2006 (continued)

The No To Hate campaign runs in tandem with the Club's Equality Action Plan, as well as our work as signatories to the FA's Football Leadership Diversity Code and our support for the Premier League's No Room For Racism Action Plan.

The Club also took action to manage costs throughout the period to protect the wider commercial interests of the business.

Climate-related Financial Disclosures

The Companies (Strategic Report) (Climate-related Financial Disclosure) Regulations have been introduced in the UK for UK businesses to report on material climate-related matters and the impact that they have on their organisations.

We recognise that the long-term future of our business relies on the health and vitality of our people, of our communities and of our planet and so aim to be a leader in sustainability actions and performance in sport. We want to be playing football in the heart of our community and entertaining fans for decades and centuries to come.

The Board of Chelsea FC recognises the significance of climate-related risks and opportunities in shaping the future of the club and the broader sports industry. The Board is responsible for overseeing climate-related issues.

Governance

The Board of Chelsea FC recognises the significance of climate-related risks and opportunities in shaping the future of the club and the broader sports industry. The Board is responsible for overseeing climate-related issues. Chelsea FC has implemented a governance process for climate-related risks and opportunities. These risks are reported to a senior level via the club's Sustainability Steering Committee (SSC) and Audit and Risk Committee.

Chelsea FC have a sustainability function within the club that oversees environmental, social and governance considerations for the club. Chelsea has a full-time Environmental Social Governance Manager (ESG) who ensures continuous monitoring and review of climate risks.

Chelsea FC's current methodology assesses the physical and transitional climate-related risks to the business as a medium-term impact. The club has undertaken actions that focus on addressing physical and transition risks whilst ensuring compliance and engagement with all relevant parties.

Chelsea FC maintains multiple sites exposing the club to various extreme weather events including rainstorms, flash flooding and heat. These physical risks are heightened given the operational necessity for events, matches and training sessions. The club has experienced one significant climate impact in recent years which winter conditions resulted in a postponement of a Women's 1st team match at Kingsmeadow Stadium. The Club maintains under-pitch heat controls to prevent this. The Club also maintains an adverse weather plan to help mitigate exposure to operational disruption from physical events.

Risk management

Chelsea currently has a sustainability policy using the three pillars of Environment, Community and Social. Chelsea FC identifies and manages areas of climate risk and opportunities. This identification is further enabled by the club's ESG risk register. This risk register enables Chelsea FC to identify and review the ESG risks and opportunities. This is reviewed and approved through the Audit and Risk Committee. Chelsea FC has identified several key climate-related risks and opportunities and defined them as the following:

- **Physical Risks.** Physical risks are those associated with the impacts of climate change. These risks can be event-driven (acute) or associated with longer-term shifts in climate patterns (chronic).
- **Transition Risks.** Transition risks are those associated with the pace and extent to which an organisation manages and adapts to the internal and external pace of change to reduce greenhouse gas emissions.
- **Opportunities.** Relating to efforts to mitigate and adapt to climate change, such as resource efficiencies and cost savings.

Chelsea FC's identification of climate change risks and opportunities is embedded into the organisation in various governance structures across the business. These include the Sustainability Working Group (SWG), SSC and Audit and Risk Committee.

CHELSEA FC HOLDINGS LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Climate-related Financial Disclosures

Risk management (continued)

The SWG was established in 2023 and in 2024 signed off on the terms of reference for the group. The SSC sits above the SWG and is responsible for ensuring the SWG is well-guided, whilst addressing and communicating the most material risks to the business. The SSC will hold its first meeting in 2024 and will enable regular reporting on climate risks to be presented to the Board, ensuring these risks are considered in decision-making processes at all levels.

Further processes include the business's ESG risk register. Risk identification is formally reviewed by the ESG manager, reported in the club's ESG risk register, and communicated through the governance structure

Strategy

A description of principal climate-related risks and opportunities arising from Chelsea FC's operations is shown in Table 1. Timeframes are classed as short-term (0-5 years), medium-term (5-15 years) and long-term (15+ years).

Table 1: Chelsea FC Climate Risks

Category	TCFD Area	Ref	Climate-related Risk	Timeframe
Transition Risk	Policy & Legal	T1	Increased compliance and Climate Change reporting	Medium-term
		T2	Exposure to Climate Change litigation	Short-term to medium-term
		T3	Finance and investments	Short-term
	Technology	T4	Investment into new low-emissions technology	Short-term
		T5	Impact of transition to low-emission business	Medium-term
	Market	T6	Increased cost of raw materials	Medium-term
		T7	Increased energy and utility cost	Medium-term
		T8	Uncertainty in market signals	Medium-term
	Reputation	T9	Increased stakeholder concern or negative stakeholder feedback	Short-term
		T10	Shifts in consumer preferences	Long-term
Physical Risk	Chronic	P1	Sea level rise	Long-term
		P2	Rising mean temperatures	Long-term
		P3	Biodiversity loss	Long-term
		P4	Poor air quality	Long-term
	Acute	P5	Increased severity of extreme weather events (drought, heatwaves, heavy localise rain or snow, high winds)	Short-term to medium-term
		P6	Change in precipitation patterns	Short-term to medium-term

CHELSEA FC HOLDINGS LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Climate-related Financial Disclosures (continued)

Strategy (continued)

The efforts of Chelsea to adapt to climate-related risks will also give opportunities for business improvement. Successful implementation and resilience can lead to substantial benefits for an organisation the size of Chelsea FC. These benefits vary depending on the region, market and industry that Chelsea FC is engaged with (See table 2). The actual and potential impacts of the principal climate-related risks and opportunities can be seen in table 3.

Table 2: Chelsea FC Climate Opportunities

Category	TCFD Area	Ref	Description of opportunity
Opportunity	Policy & Legal	T1	Increased mandatory public reporting can lead to increased reputational benefits as a sustainably focused business can access to alternative investment/sponsorship opportunities. Furthermore, increased climate risk preparedness and transparency decreases the risk of climate litigation.
	Technology	T4	Investment in low emissions technology will only cement Chelsea FC as a leader in sport and sustainability. This investment will bring cost savings and can have a high return on the investment for the business. This type of technology has already been deployed at Stamford Bridge with more sites pending. It anticipated this opportunity growing over time.
	Market	T7	Improving energy efficiency across the business in line with the risks identified represents a cost saving for the business. Training and technology have been implemented and it's anticipated this will grow over time.
		T8	There is an opportunity for Chelsea FC's business model to adapt to changing markets. With physical and transition risks affecting global markets, Chelsea can leverage partnerships and use its global reach to engage with areas not previously possible.
	Reputation	T9	Engaging with Chelsea FC's fans and external stakeholders on sustainability initiatives can enhance the club's brand and reputation.
	Chronic	P2	A long-term mean rise in temperatures will mean less reliance on gas to heat buildings as climate change will lead to milder winters. This mean rise in temperatures will also lessen the risk of heavy snowfall reducing the risk of disruption to training, events, matchdays and transport issues.
	Acute	P5	The increase in heavy localised rainfall enables further rainwater collecting opportunities to capture large volumes of rainfall falling in short periods. This will top up the lake at the training ground and can reduce water costs and mitigate drought impacts. Increased heat also increases the viability of solar energy generation.

Table 3: Impact of climate-related risks

Ref	Climate-related risk	Impact of climate risk on the business	Timeframe
T1	Increased compliance and Climate Change reporting	Improved reporting requirements are likely to be a barrier to opportunities from external stakeholders and investment prospects.	Medium-term
T2	Exposure to Climate Change litigation	There will be a need to comply with emerging climate-related regulations and best practices. Failure to adapt and remain compliant with these regulations will result in exposure to climate ligations which can have financial implications and lead to reputational damage.	Short-term to medium-term
T3	Finance and investments	Climate change disruptions could lead to the postponement or cancellation of matchdays or events, which could heavily impact finances. Climate risks can also affect the values of properties/assets owned in Chelsea FC's portfolio. Partners and sponsors are increasingly seeking to align with environmentally conscious partners. As a business, if we do not manage the climate change risk it may be harder to attract and retain sponsorship.	Short-term
T4	Investment into new low-emissions technology	As Chelsea looks to decrease the climate risk to the business, increased capital will be required to reduce the business's climate impact. Such investments have already been implemented such as an energy monitoring system. This risk will likely grow as Chelsea FC looks to expand.	Short-term

CHELSEA FC HOLDINGS LIMITED**STRATEGIC REPORT (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****Climate-related Financial Disclosures (continued)****Strategy (continued)***Table 3: Impact of climate-related risks (continued)*

Ref	Climate-related risk	Impact of climate risk on the business	Timeframe
T5	Impact of transition to low-emission business	Certain areas of Chelsea FC's assets are currently not capable of meeting the required level of carbon emissions reductions. New buildings will need to be required to have the ability to mitigate climate change risks and existing properties will need to adapt accordingly.	Medium-term
T6	Increased cost of raw materials	The switch to renewables and low-emission technology is anticipated to have a high initial capital cost. Operational resilience and strengthening infrastructure will be required to manage climate risks.	Medium-term
T7	Increased energy and utility cost	Costs of fossil fuels are expected to rise and with growing energy insecurity it is recommended the club consider a transition to renewable energy sources. There will be a need to adopt to more energy-efficiency projects to counter these rising costs.	Medium-term
T8	Uncertainty in market signals	Geopolitical instability has shown that supply chains across Europe can be subject to increased pressure/uncertainty. To ensure we are prepared for this Chelsea FC needs to assess and model various scenarios. We will be working closely with our supply chain partners to manage this risk moving forward.	Medium-term
T9	Increased stakeholder concern or negative stakeholder feedback	Perception of inaction of climate-related issues leaves Chelsea FC open to criticism and potentially weakening the club's brand if accused of greenwashing. Chelsea FC needs to remain transparent and proactive in their communication of sustainability progress to continue to reduce this risk.	Short-term
T10	Shifts in consumer preferences	Failure to adapt to climate change risks may lead to Chelsea FC's brand becoming unfavourable in the public eye. This can influence sponsorship/ partnership decisions that can impact revenue for the club.	Long-term
P1	Sea level rise	The club has multiple sites across the UK that are all expected to be impacted to some extent by rising sea levels. This can lead to damage to facilities and impact operations across the business.	Long-term
P2	Rising mean temperatures	Increasing global temperatures will affect Chelsea FC's operations significantly. Operationally hosting matchdays and events can be impacted by an increased chance of heatwaves. This affects Chelsea FC's staff, infrastructure, and energy costs across all our assets.	Long-term
P3	Biodiversity loss	Biodiversity loss affects Chelsea FC by increasing operational costs, influencing brand reputation and necessitating comprehensive risk management and long-term strategic adjustments. Chelsea FC will need to consider implementing biodiversity initiatives into its long-term strategy to remain competitive and compliant with future biodiversity compliance.	Long-term
P4	Poor air quality	Prolonged exposure to poor air quality can adversely affect staff, fan and player health and performance. Poor air quality may lead to postponement or disruption of matchdays leading to a loss of revenue. Persistently poor air quality can deter fans from attending games and reduce player performance.	Long-term
P5	Increased severity of extreme weather events (Drought, heatwaves, heavy localise rain or snow, high winds)	Increased volume and intensity of extreme weather events impact Chelsea FC across all areas of our operations. Potential impacts include disruption to training and matchdays, the need for increased investment in infrastructure, shift in working patterns, water restrictions and transport/supply chain disruptions.	Short-term to medium-term
P6	Change in precipitation patterns	Chelsea FC's UK operations will see an increase in heavy rain in future years. The increased rate of intense rainfall will pose challenges to Chelsea FC's infrastructure as well as increase the flood risks to our sites.	Short-term to medium-term

CHELSEA FC HOLDINGS LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Climate-related Financial Disclosures (continued)

Strategy (continued)

The club's long-term strategy will in time include scenario analysis to assess the resilience of our operations under varying climate scenarios such as 1.5°C, 2°C or 3°C temperature rises. Once this assessment has been undertaken it will inform decisions regarding investment and long-term strategic planning.

Currently, Chelsea FC has not implemented climate change risks into its financial planning. However, the business ensures it remains informed of climate scenarios, through the various ESG functions and governance steps.

Metrics and targets

Chelsea FC are developing our targets for energy carbon emissions. This is an evolving process as the business must first undertake a full Greenhouse gas (GHG) inventory to form a baseline measurement. A full GHG measurement is planned for the 2024/2025 financial year and an external third party will be appointed to work with the business to lead the calculation process.

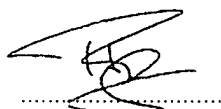
In the 2023/24 season home fixtures at Stamford Bridge increased from 22/23 and led to a 0.2% increase in total emissions (tCO₂e) but a 4.3% decrease in total energy use (kWh). There has been a decrease in Scope 1 gas and an increase in Scope 2 electricity by 6.9% and 3.9% respectively. On an intensity basis, the club saw the tCO₂e/ £M Turnover increase by 9.2% and the Total tCO₂e/Home game* decrease by 19.2%.

* Home fixture defined as Men's or Women's 1st team match at Stamford Bridge.

Non-Financial and Sustainability Information Statement

See information included in the Climate-related Financial Disclosures within the Strategic Report above.

By order of the Board



Todd Boehly
Chairman

10/10/2024



Behdad Eghbali
Director

10/10/2024

Stamford Bridge
Fulham Road
London
SW6 1HS

CHELSEA FC HOLDINGS LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present their report and the financial statements of the Company and the Group for the year ended 30 June 2024.

Principal activities

The principal activities of the Group are the operation of a professional football club, the provision of catering and function facilities, hoteliers, retailing and media activities, car park management, event organisation and property development and management.

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

D Barnard
T Boehly
B Charone
B Eghbali
J Feliciano
D Finkelstein
J Goldstein
C Jurasek
J Pade
M Walter
H Wyss

Results and dividends

The profit for the year before taxation was £128.4m (2023: loss of £90.1m).

No dividends were paid. The directors do not recommend payment of a dividend.

Disabled persons

Disabled persons are given full and fair consideration in all applications for employment. Equal consideration is also given for training, career development and opportunities for promotion. If an existing employee becomes disabled, such steps that are practical are taken, in respect of adjustments to premises or employment arrangements, to retain him/her in employment. Where appropriate, rehabilitation and suitable training are provided.

Employee involvement

The Group recognises the importance of good employee relations and communications and involves employees as appropriate to each company's circumstances. Employees are kept informed of and are asked to express their view on activities which are of concern to them or are likely to affect their interests.

Events after the reporting date

Since the year end the Group has acquired the registration of 7 football players at an initial cost of £167.8m and disposed of the registration of 8 players at a profit of £28.0m.

In the prior period, the Group sold hotel buildings and car park property to Blueco 22 Properties Limited, a fellow subsidiary of the intermediate parent company, Blueco 22 Limited. The transaction value was subject to Premier League approval, and the Group received final determination from the Premier League regarding the transaction value on 13 July 2024, which required a downward adjustment of £6.0m to the previously recognised profit on sale of £76.3m. This adjustment been recognised in July 2024.

CHELSEA FC HOLDINGS LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Auditor

The auditor, KPMG LLP, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Streamlined Energy and Carbon Reporting

The SECR disclosure presents the Group's carbon footprint within the United Kingdom for Scope 1, 2 and 3 emissions based on SECR legislation, an appropriate intensity metric and the total energy use of electricity, gas and transport fuel for the year ended 30 June 2024.

	2024	2023
Emissions from combustion of gas (tCO ₂ e) (Scope 1)	2,757	2,960
Emissions from combustion of fuel for transport purposes (tCO ₂ e) (Scope 1)	29	28
Emissions from purchased electricity (tCO ₂ e) (Scope 2)	4,290	4,131
Emissions from business travel in rental cars or employee-owned vehicles (tCO ₂ e) (Scope 3)	199	142
Total Scope 1, 2 & 3 emissions (tCO₂e)	7,275	7,261
Intensity ratio (tCO ₂ e/£M Turnover)	15.5	14.2
 Energy consumption used to calculate emissions (kWh)	 35,914,990	 37,545,474

Methodology

The reporting boundary has been defined using the operational control approach as set out in the Greenhouse Gas ("GHG") Protocol. The UK Government GHG Conversion Factors for company reporting have been used to calculate carbon emissions.

The reported emissions relate to Chelsea Football Club within the UK only. This includes the football ground, hotels, apartments, restaurants and Under the Bridge event space at Stamford Bridge as well as the Cobham training ground and Kingsmeadow Stadium. Further assets include small buildings within the grounds at Cobham. It excludes energy use out-with the operational control of the Group; for example, travel that is operated by other parties.

Energy Efficiency Action Taken

The Group has increased the number of insulated areas of the site at Cobham training ground. This work saw the women's gym replaced from a marquee structure to a permanent building featuring insulated wall panelling and the use of natural building materials. Furthermore, there has been an expansion and use of electric groundsman equipment at the training ground, decreasing the use of fuels wherever practical.

At Stamford Bridge, the newly refurbished Rose and Ball hospitality space has had areas no longer in use shut down to reduce energy consumption. There is continual refurbishment and retrofitting of LED lights around the stadium with large projects planning in the future to transition to full LED lighting.

This year saw the implementation of an Energy Monitoring System (EMS) at Stamford Bridge to identify areas of high consumption and drive reduction of energy across the site. This innovative EMS technology will drive reductions across the stadium facilities, catering, event and matchday operations.

For the future, the Group are considering a heat recovery system for Cobham to capture heat from outgoing air to heat the swimming pool in the 1st team building. We will also consider expanding the EMS system to other sites across the business to drive further energy savings.

CHELSEA FC HOLDINGS LIMITED

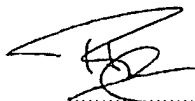
DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the auditor of the Company and Group is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the auditor of the Company and Group is aware of that information.

By order of the Board


.....
Todd Boehly
Chairman
10/10/2024

Behdad Eghbali ...
Behdad Eghbali
Director
10/10/2024

CHELSEA FC HOLDINGS LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2024

The directors are responsible for preparing the Strategic Report, the Directors' Report and the Group and parent company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the group and parent company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and parent company and of their profit or loss for that period. In preparing each of the group and parent company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the group and parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent company's transactions and disclose with reasonable accuracy at any time the financial position of the parent company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHELSEA FC HOLDINGS LIMITED

Opinion

We have audited the financial statements of Chelsea FC Holdings Limited ("the Company") for the year ended 30 June 2024 which comprise the group profit and loss account, group statement of comprehensive income, group and Company balance sheet, group and Company statement of changes in equity, group statement of cash flows and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the parent Company's affairs as at 30 June 2024 and of the Group's profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the group or the Company or to cease their operations, and as they have concluded that the group and the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the group's business model and analysed how those risks might affect the group and Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the group or the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the group or the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the Group's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes
- Using analytical procedures to identify any unusual or unexpected relationships
- Consultation with internal forensic professionals regarding the identified fraud risks and the design of the audit procedures planned in response to these. This involved discussion between the engagement partner and the forensic professionals.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHELSEA FC HOLDINGS LIMITED (continued)

As required by auditing standards, and taking into account possible pressures to meet the performance conditions set by external regulators, we perform procedures to address the risk of management override of controls, in particular the risk that Group management may be in a position to make inappropriate accounting entries. We also perform procedures to address the risk of misappropriation of cash or other assets within the business. On this audit we do not believe there is a fraud risk related to revenue recognition due to limited opportunities to manipulate revenue.

The procedures performed include:

- Identifying journal entries and other adjustments to test for all full scope components based on risk criteria and comparing the identified entries to supporting documentation. These included those journal entries containing specific words in their description.
- Evaluating the business purpose of significant unusual transactions.
- Assessing the reasonableness of assumptions and judgements made by management in their significant accounting estimates.
- Obtaining an understanding of the group's policies and procedures, and testing the operating effectiveness of fraud risk controls in respect of refund and payments authorisation.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statement from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and from inspection of the group and the Company's regulatory and legal correspondence and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit. The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigations. We identified the following areas as those most likely to have such an effect: health and safety, anti-bribery, profit and financial sustainability rules, employment law and certain aspects of Company legislation recognizing the nature of the group's activities and its legal form. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, and audit will not detect that breach.

For the self-reporting matters and ongoing discussions with regulators discussed in note 22 and note 28 we assessed disclosures against our understanding from regulatory and legal correspondence.

Context of the ability of the audit to detect fraud or breaches of law and regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHELSEA FC HOLDINGS LIMITED (continued)

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 14, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Paul Barron (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
15 Canada Square
London
E14 5GL

10 October 2024

CHELSEA FC HOLDINGS LIMITED**GROUP PROFIT AND LOSS ACCOUNT****FOR THE YEAR ENDED 30 JUNE 2024**

		Operations excluding player amortisation and trading 30 June 2024 £000	Player amortisation, impairment and trading 30 June 2024 £000	Total 30 June 2024 £000	30 June 2023 £000
	Notes				
Turnover	3	468,486	-	468,486	512,467
Cost of sales		(400,808)	-	(400,808)	(467,205)
Gross profit		67,678	-	67,678	45,262
Administrative expenses		(91,296)	(190,056)	(281,352)	(293,850)
Other operating income	4	715	-	715	30,606
Operating loss		(22,903)	(190,056)	(212,959)	(217,982)
Interest receivable and similar income	10	1,716	8,032	9,748	4,889
Interest payable and similar charges	11	-	(19,271)	(19,271)	(16,392)
Profit on disposal of player registrations		-	152,463	152,463	62,861
Profit on disposal of fixed assets investments	17	198,749	-	198,749	-
Profit on disposal of fixed assets		54	-	54	76,524
Fair value loss on investment properties		(384)	-	(384)	-
Profit/(loss) before taxation	6	177,232	(48,832)	128,400	(90,100)
Taxation	12	1,206	-	1,206	331
Profit/(loss) for the financial year		178,438	(48,832)	129,606	(89,769)

Included within operating loss is £Nil (2023: £Nil) relating to the impairment of player registrations and other expenses.

Included with administrative expenses are player amortisation and trading administration costs which are separately disclosed above. In the prior year £203.3m related to these costs.

The profit and loss account has been prepared on the basis that all operations are continuing operations.

The notes on pages 25-48 form an integral part of these financial statements.

CHELSEA FC HOLDINGS LIMITED

GROUP STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2024

	2024	2023
	£000	£000
Profit/(loss) for the year	129,606	(89,769)
Other comprehensive income	-	-
Other comprehensive income for the year	-	-
Total comprehensive loss for the year	129,606	(89,769)

The notes on pages 25-48 form an integral part of these financial statements.

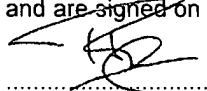
Total comprehensive loss for the year is all attributable to the owners of the parent company.

CHELSEA FC HOLDINGS LIMITED**GROUP BALANCE SHEET****AS AT 30 JUNE 2024**

	Notes	2024 £000	2023 £000
Fixed assets			
Intangible assets	13	1,035,265	709,754
Tangible assets	14	154,383	156,308
Investment properties	15	2,786	3,170
Investments	16	-	-
		<u>1,192,434</u>	<u>869,232</u>
Current assets			
Stocks	20	911	28
Debtors	21	615,118	277,674
Cash at bank and in hand		36,025	87,889
		<u>652,054</u>	<u>365,591</u>
Creditors: amounts falling due within one year	22	<u>(829,484)</u>	<u>(622,387)</u>
Net current liabilities		<u>(177,430)</u>	<u>(256,796)</u>
Total assets less current liabilities		1,015,004	612,436
Creditors: amounts falling due after more than one year	23	(219,343)	(260,167)
Provisions for liabilities	25	(3)	(1,214)
Net assets		<u>795,658</u>	<u>351,055</u>
Capital and reserves			
Called up share capital	27	2,150	2,150
Share premium account		1,799,064	1,484,064
Revaluation reserve		-	-
Retranslation reserve		(20)	(17)
Profit and loss reserves		<u>(1,005,536)</u>	<u>(1,135,142)</u>
Total equity		<u>795,658</u>	<u>351,055</u>

The notes on pages 25-48 form an integral part of these financial statements.

The financial statements were approved by the board of directors and authorised for issue on the 10/10/2024 and are signed on its behalf by:


Todd Boehly
Chairman


Behdad Eghbali
Director

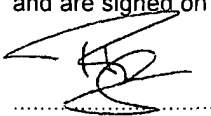
Company Registration No. 02536231

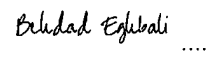
CHELSEA FC HOLDINGS LIMITED**COMPANY BALANCE SHEET****AS AT 30 JUNE 2024**

		2024		2023	
	Notes	£000	£000	£000	£000
Fixed assets					
Intangible assets	13		4,548		4,884
Tangible assets	14		8,347		11,122
Investments	16		1,781,564		1,330,411
			<u>1,794,459</u>		<u>1,346,417</u>
Current assets					
Debtors	21	542,004		256,639	
Cash at bank and in hand		35,627		87,302	
		<u>577,631</u>		<u>343,941</u>	
Creditors: amounts falling due within one year	22	(420,692)		(230,603)	
Net current assets			<u>156,939</u>		<u>113,338</u>
Total assets less current liabilities			<u>1,951,398</u>		<u>1,459,755</u>
Creditors: amounts falling due after more than one year	23		-		-
Net assets			<u>1,951,398</u>		<u>1,459,755</u>
Capital and reserves					
Called up share capital	27		2,150		2,150
Share premium account			1,799,064		1,484,064
Revaluation reserve			6,555		6,555
Profit and loss reserves			143,629		(33,014)
Total equity			<u>1,951,398</u>		<u>1,459,755</u>

The notes on pages 25-48 form an integral part of these financial statements.

The financial statements were approved by the board of directors and authorised for issue on the 10/10/2024 and are signed on its behalf by:


 Todd Boehly
 Chairman


 Behdad Eghbali
 Director

Company Registration No. 02536231

CHELSEA FC HOLDINGS LIMITED
GROUP STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2024

	Notes	Share capital £000	Share premium account £000	Revaluation reserve £000	Retranslation reserve £000	Profit and loss reserves £000	Total £000
Balance at 1 July 2022		2,150	1,484,064	860	(14)	(1,046,233)	440,827
Year ended 30 June 2023:							
Loss for the year		-	-	-	-	(89,769)	(89,769)
Total comprehensive loss for the year		-	-	-	-	(89,769)	(89,769)
Issue of share capital		-	-	-	-	-	-
Other movements	27	-	-	(860)	(3)	860	(3)
Balance at 30 June 2023		2,150	1,484,064	-	(17)	(1,135,142)	351,055
Year ended 30 June 2024:							
Profit for the year		-	-	-	-	129,606	129,606
Total comprehensive loss for the year		-	-	-	-	129,606	129,606
Issue of share capital		-	315,000	-	-	-	315,000
Other movements	27	-	-	-	(3)	-	(3)
Balance at 30 June 2024		2,150	1,799,064	-	(20)	(1,005,536)	795,658

The notes on pages 25-48 form an integral part of these financial statements.

CHELSEA FC HOLDINGS LIMITED
COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2024

	Notes	Share capital £000	Share premium account £000	Revaluation reserve £000	Retranslation reserve £000	Profit and loss reserves £000	Total £000
Balance at 1 July 2022		2,150	1,484,064	6,555	-	(73,818)	1,418,951
Year ended 30 June 2023:							
Profit for the year		-	-	-	-	40,804	40,804
Total comprehensive profit for the year		-	-	-	-	40,804	40,804
Issue of share capital	27	-	-	-	-	-	-
Balance at 30 June 2023		2,150	1,484,064	6,555	-	(33,014)	1,459,755
Year ended 30 June 2024:							
Profit for the year		-	-	-	-	176,643	176,643
Total comprehensive profit for the year		-	-	-	-	176,643	176,643
Issue of share capital	27	-	315,000	-	-	-	315,000
Balance at 30 June 2024		2,150	1,799,064	6,555	-	143,629	1,951,398

The notes on pages 25-48 form an integral part of these financial statements

CHELSEA FC HOLDINGS LIMITED

GROUP STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	£000	2024 £000	£000	2023 £000
Cash flows from operating activities					
Cash (used in)/generated from operations	34		(11,902)		173,496
Interest received			1,716		586
Interest paid			-		-
Taxation paid			(5)		(4)
Net cash inflow from operating activities			(10,191)		174,078
Investing activities					
Purchase of intangible assets		(589,158)		(747,792)	
Proceeds on disposal of intangibles		189,254		202,797	
Proceeds on disposal of tangible fixed assets		54		-	
Purchase of tangible fixed assets		(11,520)		(20,875)	
Net cash used in investing activities			(411,370)		(565,870)
Financing activities					
Proceeds from the issue of share capital		315,000		-	
Proceeds from borrowings		71,500		428,500	
Repayment of borrowings		(16,800)		(3,000)	
Net cash generated from financing activities			369,700		425,500
Net increase in cash and cash equivalents			(51,861)		33,708
Cash and cash equivalents at beginning of year			87,889		54,184
Retranslation of foreign currency subsidiary			(3)		(3)
Cash and cash equivalents at end of year			36,025		87,889

The notes on pages 25-48 form an integral part of these financial statements

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies

Company information

Chelsea FC Holdings Limited ("the Company") is a private limited company domiciled and incorporated in England and Wales in the United Kingdom. The registered number is 02536231 and the registered office is Stamford Bridge, Fulham Road, London, UK, SW6 1HS.

The "Group" consists of Chelsea FC Holdings Limited and all of its subsidiaries.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the Company. Monetary amounts in these financial statements are rounded to the nearest £000.

The financial statements have been prepared on the historical cost convention, modified to include the revaluation of freehold properties and to include investment properties and certain financial instruments at fair value. The principal accounting policies adopted are set out below.

As permitted by s408 Companies Act 2006, the Company has not presented its own profit and loss account and related notes. The Company's profit for the year was £176,643,000 (2023: loss of £40,804,000).

1.2 Basis of consolidation

The consolidated financial statements incorporate those of Chelsea FC Holdings Limited and all of its subsidiaries (i.e. entities that the Group controls through its power to govern the financial and operating policies so as to obtain economic benefits). Subsidiaries acquired during the year are consolidated using the purchase method. Their results are incorporated from the date that control passes.

All financial statements are made up to 30 June 2024. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the Group.

All intra-group transactions, balances and unrealised gains on transactions between Group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

Entities other than subsidiary undertakings or joint ventures, in which the Group has a participating interest and over whose operating and financial policies the Group exercises a significant influence, are treated as associates. In the Group financial statements, associates are accounted for using the equity method.

Entities in which the Group holds an interest and which are jointly controlled by the Group and one or more other venturers under a contractual arrangement are treated as joint ventures. In the Group financial statements, joint ventures are accounted for using the equity method.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

1.3 Going concern

The financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

The Group and Company meets their day to day working capital requirements from operational cash flows and intragroup funding from Blueco 22 Limited ('Blueco'), an intermediate holding company. The directors have prepared cash flow forecasts and performed a going concern assessment which indicate that, in both the base case and reasonably possible downsides, the Group and Company will require additional funds, through funding from Blueco, which ultimately requires support from the consortium led by Todd Boehly and Clearlake to meet their liabilities as they fall due during the 12 month period from the date of approval of the financial statements, the going concern assessment period.

The Group prepares and reviews its cash flow forecasts on a regular basis and keeps its parent aware of various potential funding scenarios. The Group has considered various base case and severe but plausible downside cases, with on-pitch performance of the men's football team being a key driver.

Blueco has indicated its intention to continue to make available such funds as are needed by the company during the going concern assessment period. The most significant factor that determines the extent of the financial support requirement is the net impact of future player transfer activity. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the directors are confident that the company and group will have sufficient funds to continue to meet their liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

1.4 Turnover

Turnover represents all income arising from the ordinary activities of the Group excluding transfer fees and excluding Value Added Tax. Principal sources of income include gate receipts, sponsorship, the sale of broadcasting rights, matchday, central awards from the Premier League, UEFA solidarity payments, prize money, merchandising and revenue from other commercial activities.

Gate receipts, matchday and other event day revenue is recognised over the period of the football season as games are played and events are staged. Sponsorship and similar commercial income is recognised over the duration of the respective contracts. The fixed element of broadcasting revenues is recognised over the duration of the football season whilst facility fees for live coverage or highlights are taken when earned at the point of broadcast. Merit awards are accounted for over the period of the football season based on known position in the league. UEFA pool distributions relating to participation in European competitions are recognised when received whilst distributions relating to match performance are taken when earned; these distributions are classified as broadcasting revenues.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

1.5 Players' registrations

All costs associated with the acquisition of a player's registration are capitalised as intangible fixed assets and are amortised evenly over the period of the player's initial contract of employment with the Company. In the event that the initial contract is renegotiated prior to expiry, the written down value at the date of renegotiation is amortised over the extended period. Fees receivable are set off against the player's net book value at the date of sale, plus any payments made in settlement of the contracts, and the difference is treated as a profit or loss on disposal.

The directors review the carrying value of the players' registrations (within intangible assets) for impairment where events or changes in circumstances indicate that the carrying value of the asset may not be recoverable. In completing their assessment of impairments required the directors consider the playing squad to be one cash generating unit such that no impairment is recorded if the recoverable amount of the playing squad is greater than its carrying value. Per FRS 102.27.11, the recoverable amount is calculated using the higher of the Fair Value less Costs to Sell (FVLCTS) and its value in use however in the case of player registrations the directors do not consider it possible to determine to VIU of an individual player.

In certain situations, such as career-threatening injury, players are treated as a separate cash generating unit and the carrying values are compared to the Group's best estimate of the players FVLCTS. To the extent that the carrying value exceeds the recoverable amount, the asset is impaired and the impairment loss is recognised in the profit and loss account.

1.6 Intangible fixed assets

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses. Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date if the fair value can be measured reliably.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Software	3 to 5 years
Player registrations	Life of contract

1.7 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land	Not depreciated
Freehold buildings	20 to 100 years on a straight line basis
Assets in the course of construction	Not depreciated
Fixtures, fittings & equipment	2 to 10 years on a straight line basis

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the profit and loss account.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

1.8 Investment properties

Investment property, which is property held to earn rentals and/or for capital appreciation, is measured using the fair value model and stated at its fair value as the reporting end date. The surplus or deficit on revaluation is recognised in the profit and loss account.

1.9 Impairment of fixed assets

At each reporting period end date, the Group reviews the carrying amounts of its tangible and intangible assets (excluding players' registrations) to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The carrying amount of the investments accounted for using the equity method is tested for impairment as a single asset. Any goodwill included in the carrying amount of the investment is not tested separately for impairment.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.10 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

Stocks held for distribution at no or nominal consideration are measured at cost, adjusted where applicable for any loss of service potential.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.11 Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

1.12 Financial instruments

The Group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the Group's statement of financial position when the Group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the Group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the Group after deducting all of its liabilities.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future receipts discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the Group's contractual obligations expire or are discharged or cancelled.

1.13 Equity instruments

Equity instruments issued by the Group are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the Group.

1.14 Derivatives

Derivatives are initially recognised at fair value at the date a derivative contract is entered into and are subsequently remeasured to fair value at each reporting end date. The resulting gain or loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

A derivative with a positive fair value is recognised as a financial asset, whereas a derivative with a negative fair value is recognised as a financial liability.

1.15 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the Company is committed to terminate the employment of an employee or to provide termination benefits.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

1.16 Taxation

The tax credit represents the sum of the tax currently receivable and deferred tax.

Current tax

The charge or credit for tax is based on the profit or loss for the period and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred tax

Deferred tax is recognised without discounting in respect of all timing differences when items are included in a tax assessment in one period and recognised in the financial statements in another, except as otherwise required by FRS 102.29 'Income Tax'.

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

A deferred tax asset is recognised only when, on the basis of available evidence, it can be regarded as more likely than not that the reversal of underlying timing differences will result in a reduction in future tax payments.

1.17 Retirement benefits

The Group operates a number of defined contribution schemes. Contributions to these schemes are charged to the profit and loss account as incurred. The Group is one of a number of employers in a shared defined benefit scheme for playing staff.

The defined benefit scheme is a multi-employer scheme. Where there is insufficient information to enable the entity to adopt defined benefit accounting, the scheme is accounted for as a defined contribution scheme in line with FRS102.28.11.

1.18 Leases

Rentals payable under operating leases, including any lease incentives received, are charged to income on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the lease asset are consumed.

1.19 Foreign exchange

Transactions in foreign currencies are translated into sterling at the rate of exchange ruling on the transaction date. Foreign currency monetary assets and liabilities are translated into sterling at the rate of exchange ruling at the balance sheet date. Exchange gains and losses are included in the profit and loss account.

1.20 Retranslation reserve

Balances within reserves that relate to the foreign subsidiaries within the Group are retranslated on consolidation and the difference shown within the Retranslation reserve. The Group currently has one foreign subsidiary, Chelsea FC Pte Limited, which is a company registered in Singapore.

1.21 Deferred income

Income from season tickets, sponsorship, broadcasting and other commercial contracts, which has been received prior to the period end in respect of future football seasons, is treated as deferred income. Income is then recognised in the profit and loss account in the relevant financial period in line with the recognition criteria of FRS 102.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (continued)

1.22 Exceptional items

Exceptional items are transactions that fall within the ordinary activities of the Company but are presented separately due to their size or incidence.

2 Judgements and key sources of estimation uncertainty

In the application of the Group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Estimates

Valuation of player registrations

The valuation of player registrations is highly subjective and can be subject to frequent and sudden change dependent on individual player performance and the general conditions in the transfer market. The directors and management teams consider that they have sufficient experience and knowledge to make these assessments. These experiences are drawn on when making these detailed assessments and is completed in line with the accounting policy in note 1.5.

Sale of subsidiary

During the year, the Group commenced a review of its group structure, which resulted in the sale of 100% of the Company's shares in Chelsea Football Club Women Ltd to Blueco 22 Midco Limited, a fellow subsidiary of the intermediate parent company, Blueco 22 Limited, on 28 June 2024, for total consideration of £200.0m. The full year's results of Chelsea Football Club Women Ltd have been included in the Group profit or loss account to 30 June 2024, with any transactions taking place between the sale date and year-end deemed to be immaterial to these financial statements.

This sale resulted in a profit on disposal of subsidiaries of £198.7m to the Group. The consideration for the transaction is subject to the Premier League's assessment and as at the date of signing the financial statements, this process is ongoing. There is a possibility that the Premier League determination of fair market value differs from that recognised within these financial statements. The directors note that the conclusion of this process may result in a material change to the gain recognised in these financial statements. Further details on the transaction are shown in note 17.

Judgements

Identification of the CGU

In certain instances, there may be players whom the Group does not consider to be part of the First Team squad cash generating unit (or "CGU") going forward and who will therefore not contribute to the future cash flows earned by the CGU. The directors note that there is significant judgement involved of such situations where the Group does not consider a player to be part of the First Team squad CGU. An example of an indicator of such a situation is when a player has incurred a career-threatening injury. Where a player is not considered part of the First Team squad CGU, the carrying value of the player is removed from the CGU and instead, the player will be assessed for impairment in isolation by considering his carrying value with the Group's best estimate of his fair value less costs to sell.

Sale of hotel building

In the prior year, as a result of a real estate portfolio reorganisation, the Group sold hotel buildings and car park property to Blueco 22 Properties Limited, a fellow subsidiary of the intermediate parent company, Blueco 22 Limited. In ascertaining the transaction price included in the prior period financial statements, the directors obtained market values from two industry leading property valuers, for the purpose of recognising a gain of £76.3m in the prior period financial statements. The directors agree that these valuations reflect the best estimate when determining the market value of the hotel buildings and car park property.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

2 Judgements and key sources of estimation uncertainty (continued)

Sale of hotel building (continued)

The consideration for the transaction is subject to Premier League assessment under their associated party transactions rules, and as at the reporting date of these financial statements, the process had not been concluded. The directors note that the conclusion of this process may result in a material change to the gain recognised in the prior period financial statements.

Recharged costs

In the prior period, the Group determined that certain litigation costs and associated professional fees amounting to £17.1m, that have been incurred subsequent to Blueco 22 Limited acquiring the Group, should be recharged to the intermediate parent company. It is management's judgement that the amounts represent costs which were only incurred due to the acquisition of the Group by Blueco 22 Limited and therefore should be appropriately borne by the intermediate parent company on an arm's length basis. In accordance with FRS 102 Section 2, the directors consider other operating income in the profit and loss account to be the most appropriate place to present the related credit, as opposed to within equity.

3 Turnover and other revenue

An analysis of the Group's turnover is as follows:

	2024 £000	2023 £000
Turnover		
Broadcasting	163,101	225,902
Commercial	225,265	210,084
Matchday	80,120	76,481
	<u>468,486</u>	<u>512,467</u>

Turnover analysed by geographical market

	2024 £000	2023 £000
United Kingdom	<u>468,486</u>	<u>512,467</u>

4 Other operating income

	2024 £000	2023 £000
Research and development tax credit	715	1,048
Recharged costs (see Note 2)	-	17,058
Settlement fee	-	12,500
	<u>715</u>	<u>30,606</u>

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

5	Impairment and other expenses	2024 £000	2023 £000
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Impairment and other expenses	-	-
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Impairment and other expenses in the year consist of impairment of player registrations of £Nil (2023: £Nil) (see Note 13) and amounts payable in relation to ongoing legal matters of £Nil (2023: £Nil).

6	Loss before taxation	2024 £000	2023 £000
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Loss before taxation for the year is stated after charging/(crediting):

Depreciation of owned tangible fixed assets	13,445	12,712
Profit on disposal of player registrations	(152,463)	(62,861)
Profit on disposal of fixed assets	(54)	(76,524)
Profit on disposal of investments	(198,749)	-
Amortisation of intangible assets	191,826	205,000
Impairment of intangible assets	-	-
Operating lease charges	133	165

7	Auditor's remuneration	2024 £000	2023 £000
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Fees payable to the Company's auditor and associates:

For audit services

Audit of the financial statements of the Group and Company	133	58
Audit of the Company's subsidiaries	170	102
	303	160

For other services

Taxation compliance services	20	40
Other taxation services	138	119
Review of the Company's interim accounts	76	76
	234	235

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

8 Employees

Employee benefits and average number

The average monthly number of persons (including directors) employed by the Group during the year was:

	2024 Number	2023 Number
Administration and commercial	773	646
Playing staff, managers and coaches	185	181
	<u>958</u>	<u>827</u>

Their aggregate remuneration comprised:

	2024 £000	2023 £000
Wages and salaries	294,629	352,355
Social security costs	41,035	49,831
Pension costs	2,357	1,776
	<u>338,021</u>	<u>403,962</u>

Key management compensation

Key management personnel include the executive leadership team of the Group. The aggregate compensation payable to key management personnel for employment services comprised:

	2024 £000	2023 £000
Aggregate compensation	<u>5,893</u>	<u>4,134</u>

9 Directors' remuneration

	2024 £000	2023 £000
Remuneration for qualifying services	2,173	613
Company pension contributions to defined contributions schemes	10	18
Compensation for loss of office	-	-
	<u>2,183</u>	<u>631</u>

Then number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2023: 1).

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****9 Directors' remuneration (continued)**

Remuneration disclosed above include the following amounts paid to the highest paid director:

	2024	2023
	£000	£000
Remuneration for qualifying services	1,689	268
Company pension contributions to defined contributions schemes	-	18
	<u>1,689</u>	<u>286</u>

10 Interest receivable and similar income

	2024	2023
	£000	£000
Interest income		
Interest on bank deposits	1,641	586
Other interest income	8,107	4,303
	<u>9,748</u>	<u>4,889</u>

Debtor balances relating to future amounts receivable have been recorded at the net present value of future payments, discounted using a market rate of interest, resulting in interest income being recognised over the period of the transactions.

11 Interest payable and similar charges

	2024	2023
	£000	£000
Total finance costs	<u>19,271</u>	<u>16,392</u>

Creditor balances relating to future transfer fees payable have been recorded at the net present value of future payments, discounted using a market rate of interest resulting in interest expense being recognised over the period of the transactions.

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****12 Taxation**

	2024	2023
	£000	£000
Current tax		
Current tax on profit/loss for the year	5	4
Total current tax	5	4
Deferred tax (see note 24)		
Origination and reversal of timing differences	(1,223)	(342)
Adjustments in respect of prior periods	12	7
Total deferred tax	(1,211)	(335)
Total tax credit	(1,206)	(331)

The charge for the year can be reconciled to the profit/(loss) per the profit and loss account as follows:

	2024	2023
	£000	£000
Profit/(loss) on ordinary activities before taxation	128,400	(90,100)
Expected tax credit based on the standard rate of corporation tax in the UK of 25% (2023: 20.5%)	32,100	(18,471)
Tax effect of expenses not deductible in determining taxable profit	1,882	9,763
Tax effect of income not taxable	(1,150)	-
R&D expenditure credits	(189)	(215)
Adjustments in respect of prior periods (deferred tax)	12	7
Other timing differences	136	(675)
Chargeable losses	-	(413)
Fixed asset differences	(48,715)	(17,319)
Remeasurement of recognised and unrecognised deferred tax for changes in tax rates	-	(6,050)
Deferred tax remeasurement not recognised	14,713	32,974
Other permanent differences	-	68
Foreign tax suffered	5	-
Tax income for the year	(1,206)	(331)

A potential deferred tax asset of £275,109,000 (2023: £264,202,000) has not been recognised due to uncertainty over future profits.

An increase in the UK corporation rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. This resulted in a hybrid rate of corporation tax for the year ended 30 June 2023 of 20.5%. The deferred tax liability at 30 June 2024 has been calculated at 25%, reflecting the expected timing of reversal of the related timing differences (2023: 25%).

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****13 Intangible fixed assets**

Group	Software	Players' registrations	Total
	£000	£000	£000
Cost			
At 1 July 2023	19,861	1,071,524	1,091,385
Additions	1,427	552,701	554,128
Disposals	-	(183,669)	(183,669)
Disposals through sale of subsidiary	-	(3,887)	(3,887)
At 30 June 2024	21,288	1,436,669	1,457,957
Amortisation and impairment			
At 1 July 2023	14,961	366,670	381,631
Amortisation charged for the year	1,770	190,056	191,826
Disposals	-	(149,323)	(149,323)
Disposals through sale of subsidiary	-	(1,442)	(1,442)
At 30 June 2024	16,731	405,961	422,692
Carrying amount			
At 30 June 2024	4,557	1,030,708	1,035,265
At 30 June 2023	4,900	704,854	709,754

Players' registrations relate entirely to the carrying value of the playing squad and are amortised over the remaining length of the players' contracts. The figures relate solely to purchased players and are based on historical cost. Where events or changes in circumstances indicate that the carrying value of the asset may not be recoverable, to the extent that the carrying value exceeds the recoverable amount, the asset is impaired and the charge is recognised in profit and loss. Officers of Chelsea Football Club Limited have reviewed the carrying amount of players' registrations as at 30 June 2024 and consider an impairment of £Nil is required (2023: £Nil).

The software relates to internally generated platforms and applications developed, largely relating the club's website and the club's digital platform.

Company	Total
	£000
Cost	
At 1 July 2023	19,211
Additions	1,426
At 30 June 2024	20,637
Amortisation and impairment	
At 1 July 2023	14,327
Amortisation charged for the year	1,762
At 30 June 2024	16,089
Carrying amount	
At 30 June 2024	4,548
At 30 June 2023	4,884

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

14 Tangible fixed assets

Group	Land and buildings	Assets under construction	Fixtures, fittings & equipment	Total
	£000	£000	£000	£000
Cost				
At 1 July 2023	163,962	5,093	98,677	267,732
Additions	2,298	2,095	7,127	11,520
Disposals	-	-	(3,927)	(3,927)
Disposals through sale of subsidiary	-	-	(130)	(130)
Transfers	-	(5,093)	5,093	-
At 30 June 2024	166,260	2,095	106,840	275,195
Depreciation and impairment				
At 1 July 2023	50,708	-	60,716	111,424
Depreciation charged in the year	2,880	-	10,565	13,445
Disposals	-	-	(3,927)	(3,927)
Disposals through sale of subsidiary	-	-	(130)	(130)
At 30 June 2024	53,588	-	67,224	120,812
Carrying amount				
At 30 June 2024	112,672	2,095	39,616	154,383
At 30 June 2023	113,254	5,093	37,961	156,308

The Group does not hold any fixed assets under hire purchase or finance leases at the year end. Finance costs capitalised included in the value of tangible fixed assets amount to £2,003,000 (2023: £2,003,000).

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****14 Tangible fixed assets (continued)**

Company	Land and buildings	Assets under construction	Fixtures, fittings & equipment	Total
	£000	£000	£000	£000
Cost				
At 1 July 2023	312	4,004	23,612	27,928
Additions	-	-	369	369
Disposals	-	-	(2,357)	(2,357)
Transfers	-	(2,496)	2,496	-
At 30 June 2024	312	1,508	24,120	25,940
Depreciation and impairment				
At 1 July 2023	-	-	16,806	16,806
Depreciation charged in the year	-	-	3,144	3,144
Disposals	-	-	(2,357)	(2,357)
At 30 June 2024	-	-	17,593	17,593
Carrying amount				
At 30 June 2024	312	1,508	6,527	8,347
At 30 June 2023	312	4,004	6,806	11,122

15 Investment property

	Group 2024 £000	Company 2024 £000
Fair value		
At 1 July 2023	3,170	-
Net gains or losses through fair value adjustments	(384)	-
At 30 June 2024	2,786	-

The fair value of the investment property has been arrived at on the basis of a valuation carried out at 30 June 2024 by CBRE Ltd, Chartered Surveyors, who are not connected with the Company. The valuation was made on an open market value basis by reference to market evidence of transaction prices for similar properties.

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****16 Fixed asset investments**

		Group	2023	Company	2023
	Notes	2024	2023	2024	2023
		£000	£000	£000	£000
Investments in subsidiaries	18	-	-	112,068	112,068
Loans to subsidiaries	18	-	-	1,669,496	1,218,343
Unlisted investments		-	-	-	-
		<u>-</u>	<u>-</u>	<u>1,781,564</u>	<u>1,330,411</u>

The directors have assessed the appropriateness of the carrying value of the subsidiary undertakings as at 30 June 2024. They do not believe that any impairment against the value of investments in subsidiary undertakings is required (2023: £Nil).

17 Profit on disposal of fixed asset investment

	2024	2023
	£000	£000
Proceeds on sale of investment	200,000	-
Less: net assets of subsidiary on disposal	(1,251)	-
Profit on disposal of investment	<u>198,749</u>	<u>-</u>

On 28 July 2024, the Group sold Chelsea Football Club Women Ltd to Blueco 22 Midco Limited, a fellow subsidiary of the immediate parent company, Blueco 22 Limited. The Group realised a profit on disposal of investment of £198.7m, which has been recognised in the Group profit or loss account to 30 June 2024.

The consideration of the transaction is subject to the Premier League's assessment. The sale agreement contains a clause requiring an adjustment to the consideration receivable in the event that the Premier League's determination of the fair market value differs from the £200.0m recognised (further details in Note 2).

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****18 Subsidiaries**

Details of the Company's subsidiaries at 30 June 2024 are as follows:

Name of undertaking and country of incorporation or residency	Nature of business	Class of shareholding	% Held	
			Direct	Indirect
Stamford Bridge Securities Limited	Property holding	Ordinary	100.00	
Chelsea Car Parks Limited	Car park management	Ordinary	100.00	
The Hotel at Chelsea Limited	Hotel management and catering services	Ordinary	100.00	
Chelsea FC Merchandising Limited	Merchandising and mail order	Ordinary	100.00	
Chelsea FC Pte Limited	Representative office	Ordinary	100.00	
Chelsea Football Club Limited	Professional football club	Ordinary	100.00	
Chelsea TV Limited	Dormant	Ordinary	100.00	
Chelsea Limited	Dormant	Ordinary	100.00	
Chelsea FC US, Inc.	Dormant	Ordinary	100.00	

All the subsidiary undertakings are incorporated in Great Britain and registered in England and Wales, with the exception of Chelsea FC Pte Limited which is incorporated and registered in Singapore and Chelsea FC US, Inc. which is incorporated and registered in the United States of America. The registered office address of the UK subsidiaries is Stamford Bridge, Fulham Road, London, SW6 1HS.

Chelsea FC Pte Limited is a wholly owned subsidiary of Chelsea FC Holdings Limited and was formed as a management company. The registered office of this company is 21 Merchant Road, #04-01 Royal Meukh S.E.A., Singapore 058267. Chelsea FC US, Inc. is a wholly owned dormant subsidiary of Chelsea FC Holdings Limited. The registered office of this company is 1209 Orange Street, County of New Castle, Wilmington, Delaware 19801, USA.

The entire ordinary share capital and control of 100% of the voting rights of all the subsidiary undertakings are held by the Company.

19 Financial instruments

	Group 2024 £000	2023 £000	Company 2024 £000	2023 £000
Carrying amount of financial assets/liabilities				
Instruments measured at fair value through profit or loss	-	-	-	-

20 Stocks

	Group 2024 £000	2023 £000	Company 2024 £000	2023 £000
Finished goods and goods for resale	911	28	-	-

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****21 Debtors**

	Group		Company	
	2024	2023	2024	2023
	£000	£000	£000	£000
Amounts falling due within one year:				
Trade debtors	207,853	173,963	207,370	171,149
Amounts due from other Group companies	100,121	1,312	45,388	1,312
Corporation tax recoverable	715	1,476	-	-
Other debtors	3,752	1,393	407	130
Prepayments and accrued income	18,047	17,513	4,209	2,031
	<u>330,488</u>	<u>195,657</u>	<u>257,374</u>	<u>174,622</u>
Amounts falling due after one year:				
Amounts due from parent company	200,000	-	200,000	-
Trade debtors	83,216	80,618	83,216	80,618
Other debtors	1,414	1,399	1,414	1,399
	<u>284,630</u>	<u>82,017</u>	<u>284,630</u>	<u>82,017</u>
Total debtors	<u>615,118</u>	<u>277,674</u>	<u>542,004</u>	<u>256,639</u>

Amounts due from other Group companies are interest free and repayable on demand.

As part of the Eurobond issue in 1997 the Company made a loan to Chelsea Pitch Owners plc of £11,151,000, which is interest free and has an unspecified repayment date. This was used to acquire the share capital of Chelsea Stadium Limited (previously Stardust Investments Limited) and discharge the debts of that company in order to leave the freehold interest in the stadium site unencumbered. On the same date, Chelsea Stadium Limited (previously Stardust Investments Limited) granted a long leasehold interest over the stadium site at a peppercorn rent to Chelsea Football Club Limited. Chelsea Pitch Owners plc is obliged to repay the debt in full. The balance outstanding at 30 June 2024 was £8,005,832 (2023: £8,066,862). The directors believe that the balance outstanding will ultimately be recovered. The loan is currently held in the accounts at its present value, using a market rate of interest.

In the prior year the Group and Company presented net amounts due to and amounts due from Blueco 22 Midco Limited of £244.1m and £98.4m respectively, as the intention is to settle these amounts net. However, as the Group and Company do not have a legally enforceable right to offset these balances, the amounts have been recognised separately in the financial statements for the year ended 30 June 2024.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

22 Creditors: amounts falling due within one year

	Group		Company	
	2024	2023	2024	2023
	£000	£000	£000	£000
Trade creditors	334,259	272,125	11,652	23,543
Corporation tax	-	-	-	-
Other taxation and social security	37,322	40,587	37,119	40,587
Other creditors	4,977	4,486	1,684	858
Amounts owed to parent undertaking	303,196	146,080	303,196	146,080
Amounts owed to subsidiaries	-	-	51,169	-
Accruals and deferred income	149,730	159,109	15,872	19,535
	<u>829,484</u>	<u>622,387</u>	<u>420,692</u>	<u>230,603</u>

Amounts owed to parent and subsidiary undertakings are interest free and payable on demand.

£43.3m (2023: £45.6m) of the accruals and deferred income balance represents season ticket sales for the 2023/24 season.

£4.3m (2023: £10.3m) of accruals and deferred income balance represent amounts that are due to settle ongoing legal matters including amounts outstanding on an unconditional UEFA financial contribution of €5m (£4.3m).

In the prior year the Company presented net amounts due to its subsidiary undertakings as the intention is to settle these amounts net. However, as the Company does not have a legally enforceable right to offset these balances, the amounts have been recognised separately in the financial statements for the year ended 30 June 2024.

23 Creditors: amounts falling due after more than one year

	Group		Company	
	2024	2023	2024	2023
	£000	£000	£000	£000
Trade creditors	219,343	260,167	-	-
	<u>219,343</u>	<u>260,167</u>	<u>-</u>	<u>-</u>

24 Deferred taxation

Deferred tax assets and liabilities are offset where the Group or Company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (after offset) for financial reporting purposes:

	Group		Company	
	Liabilities	Liabilities	Liabilities	Liabilities
	2024	2023	2024	2023
	£000	£000	£000	£000
Tax losses	6	492	-	-
Other timing differences	(9)	(230)	-	-
Capital gains	-	(1,476)	-	-
	<u>(3)</u>	<u>(1,214)</u>	<u>-</u>	<u>-</u>

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

25 Provisions for liabilities

Deferred taxation:	Group 2024 £000
Liability at 1 July 2023	(1,214)
Credit to profit or loss	1,211
Liability at 30 June 2024	<u>(3)</u>

26 Retirement benefit schemes

	2024 £000	2023 £000
Defined contribution schemes		
Charge to profit and loss in respect of defined contribution schemes	<u>2,357</u>	<u>1,776</u>

The Company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the Company in an independently administered fund.

Defined benefit schemes

Certain employees of the Group are members of The Football League Limited Pension and Life Assurance Scheme ('the scheme'). Accrual of benefits under a final salary basis was suspended with effect from 31 August 1999 following an actuarial review, which revealed a substantial deficit.

As one of a number of participating employers, the Group is advised only of its share of the deficit in the scheme. The latest actuarial valuation as at 31 August 2023 highlighted that the Group share of the deficit was £232,331. The revised deficit is being paid off in instalments until 31 October 2026. The charge for the year is £85,846 (2023: £81,762).

27 Share capital

	Group and Company 2024 £000	2023 £000
Ordinary share capital		
Issued and fully paid		
214,977,461 Ordinary shares of 1p each (2023: 214,975,461)	<u>2,150</u>	<u>2,150</u>

28 Financial commitments, guarantees and contingent liabilities

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be payable by the Company if certain conditions are met. The maximum amount that could be payable is £74.2m (2023: £31.2m).

CHELSEA FC HOLDINGS LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)****FOR THE YEAR ENDED 30 JUNE 2024****28 Financial commitments, guarantees and contingent liabilities (continued)**

In 2022, the Company self-reported to relevant football authorities certain legal matters concerning historical football transactions. In addition, before and subsequent to the reporting date, the Group has entered into discussions with UEFA regarding mitigating factors affecting their regulatory submissions including the financial impact on the Group from the sanctions period in the year ended 30 June 2022 and impact in subsequent financial years. The directors acknowledge the ongoing review by the football authorities in relation to these matters and the conversations with UEFA may or may not impact future regulatory submissions. Depending on the outcome of these matters, there could be future liabilities that cannot be quantified as at the date of these financial statements.

29 Operating lease commitments**Lessee**

At the reporting end date the Group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group		Company	
	2024	2023	2024	2023
	£000	£000	£000	£000
Within one year	48	95	48	70
Between two and five years	19	56	19	56
	<u>67</u>	<u>151</u>	<u>67</u>	<u>126</u>

30 Capital commitments

At 30 June 2024 the Group had capital commitments as follows:

	Group		Company	
	2024	2023	2024	2023
	£000	£000	£000	£000
Contracted for but not provided in the financial statements:				
Acquisition of property, plant and equipment	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

31 Events after the reporting date

Since the year end the Group has acquired the registration of 7 football players at an initial cost of £167.8m and disposed of the registration of 8 players at a profit of £28.0m.

In the prior period, the Group sold hotel buildings and car park property to Blueco 22 Properties Limited, a fellow subsidiary of the intermediate parent company, Blueco 22 Limited. The transaction value was subject to Premier League approval, and the Group received final determination from the Premier League regarding the transaction value on 13 July 2024, which required a downward adjustment of £6.0m to the previously recognised profit on sale of £76.3m. This adjustment been recognised in July 2024.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

32 Related party transactions

Remuneration of key management personnel

Details of key management compensation are listed in Note 8.

Transactions with related parties

During the year the Group entered into the following transactions with related parties:

	Income		Expenditure	
	2024	2023	2024	2023
	£000	£000	£000	£000
Group				
Chelsea FC Foundation	819	1,020	274	334
Nike Chelsea Merchandising Limited	133	509	158	4
Racing Club de Strasbourg Alsace	3,788	-	-	-
Cornerstone OnDemand Limited	555	8	115	96
Cain International UK Services Limited	1,000	-	-	-
Vivid Seats LLC	93	-	-	-
The St. James Sports and Wellness Complex LLC	303	-	-	-
The Allbright Group Limited	90	-	72	-
Victory Live, Inc.	83	-	13	-
	<u>6,864</u>	<u>1,537</u>	<u>632</u>	<u>434</u>

The Board considers that Chelsea FC Foundation and its subsidiaries are a related party of Chelsea FC Holdings Limited by virtue of significant influence.

Mr J. Bonington and Mr R. Milham have been employees of Chelsea FC Holdings Limited in the period, as well as serving as directors of Nike Chelsea Merchandising Limited.

The following amounts were outstanding with related parties at the reporting end date:

	Amounts owed from/(to) related parties	
	2024	2023
	£000	£000
Group		
Chelsea FC Foundation	167	35
Nike Chelsea Merchandising Limited	(13)	241
Racing Club de Strasbourg Alsace	3,000	-
Cornerstone OnDemand Limited	555	-
	<u></u>	<u></u>

No guarantees have been given or received.

CHELSEA FC HOLDINGS LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

33 Controlling party

The immediate parent company is Blueco 22 Midco Limited, a company incorporated in England and Wales.

The directors consider the ultimate parent undertaking to be Blues Investment Holdings L.P., a limited partnership incorporated in Cayman Islands.

For the year ended 30 June 2024, the smallest group of undertakings in which the Company's results are included is Blueco 22 Limited and the largest is 22 Holdco Limited.

The registered office of Blueco 22 Midco Limited, Blueco 22 Limited and 22 Holdco Limited is Stamford Bridge, Fulham Road, London, SW6 1HS.

34 Cash used in group operations

	2024 £000	2023 £000
Profit/(loss) for the year after tax	129,606	(89,769)
Adjustments for:		
Taxation credited	(1,206)	(331)
Finance costs	19,271	16,392
Investment income	(9,748)	(4,889)
Fair value loss on investment properties	384	-
Amortisation and impairment of intangible assets	191,826	205,000
Depreciation and impairment of tangible fixed assets	13,445	12,712
Profit on disposal of tangible fixed assets	(54)	(76,524)
Profit on disposal of player registrations	(152,463)	(62,861)
Profit on disposal fixed asset investments	(198,749)	-
Movements in working capital:		
(Increase)/decrease in stocks	(883)	20
Increase in debtors	(329,412)	(92,676)
Increase in creditors	326,081	266,422
Cash (used in)/generated from operations	(11,902)	173,496